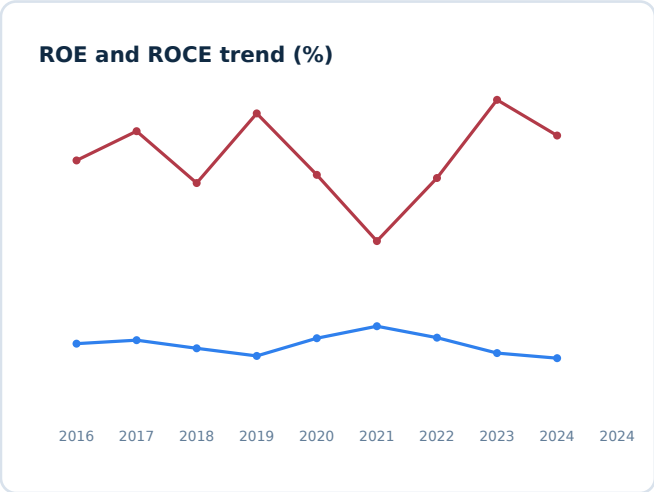
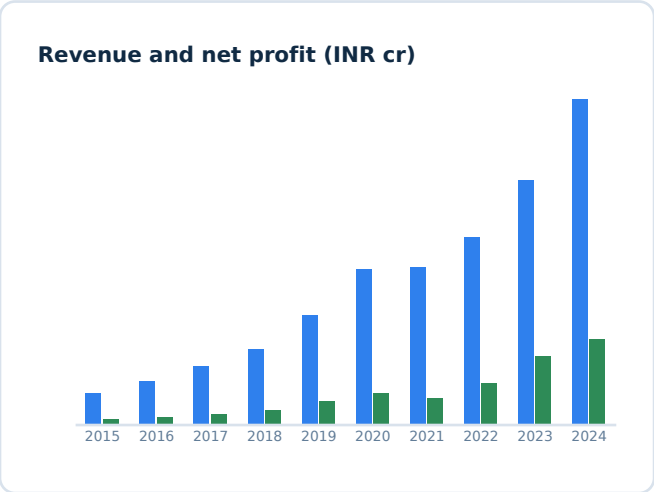


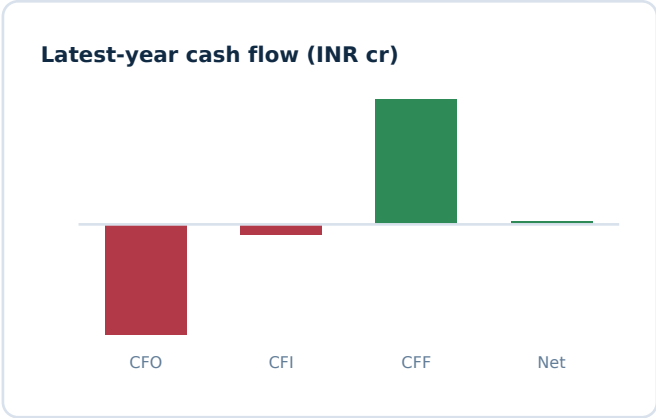
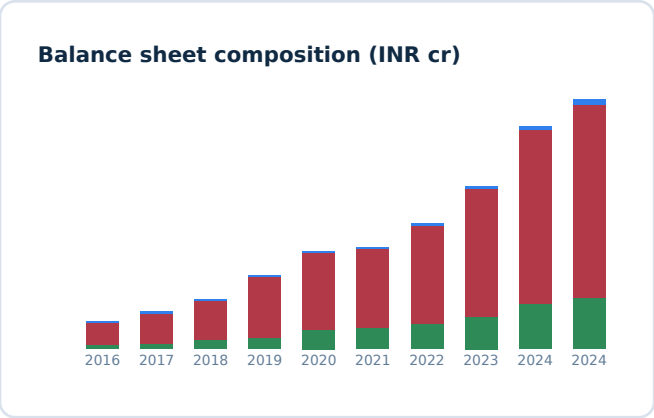
Bajaj Finance Ltd

BAJFINANCE | Financials | Consumer Finance

ROE	ROCE	REVENUE CAGR 5Y
N/A	N/A	24.4%
NET PROFIT	DEBT / EQUITY	BORROWINGS
14,451 cr	3.7x	324,218 cr



Coverage: 10 annual observations shown; latest financial year: 2024-03



Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

CAPITAL ALLOCATION

Growth Funded by Debt

Source: canonical Nifty 100 SQLite financial statements and generated intelligence outputs.